workers more competitive. And instead of throwing money into wasteful shelters and tax dodges, individuals and businesses began putting it into productive investments that created growth and new jobs.

Although it didn't bring as much simplification to the tax code as I had hoped, the Tax Reform Act of 1986 reduced the number of personal income tax brackets from fourteen to three, and lowered the top personal tax bracket (which had been seventy percent in 1981) for most Americans to twenty-eight percent, the lowest rate since 1931.

Knowing they could now keep seventy percent of what they earned instead of paying seventy percent of it to the government, the most affluent Americans invested in new projects and new ideas; but contrary to what some of the tax-and-spend liberals have said, tax reform didn't create a windfall for the rich at the expense of the poor; instead, it was the other way around.

Under the new laws, more than eighty percent of Americans paid the lowest tax rate, fifteen percent, or no tax at all; the households of four million lower-income working Americans were excused from paying federal income taxes altogether. Meanwhile, the proportion of personal income taxes paid by the top-earning one percent of Americans increased by more than a third between 1981 and 1987—from 17.9 percent to almost twenty-five percent. During the same period, the tax burden on the poorest half of American taxpayers fell by almost twenty percent—from 7.4 percent of the total to 6.1 percent. More than eighty percent of the increased personal income tax revenues since 1981 have come from taxpayers with incomes of over $100,000 a year, while the amount paid by those earning less than $50,000 dropped by billions of dollars.

By and large, the jobs created during the expansion were *good* jobs: more than ninety percent were full-time jobs; more than half paid salaries of over $20,000, and a large